

Copper Commune

March 2011



Compiled by Sampa C Lahiri, SM(CC), HCL/Corp. Comm.

Copper Rises on Prospects for Rebuilding in Japan: LME Preview

Bloomberg, March 16, 2011

Copper climbed for the first time in six days on expectation that reconstruction needs after Japan's largest quake on record will boost demand in three to six months.

Asian shares climbed for the first time in five days after the Nikkei 225 Stock Average's biggest two-day drop since 1987 left valuations at a 28-month low. The yen pared losses as fires at a Japanese power plant hampered efforts to avert a meltdown after the nation's worst earthquake.



A fire and aftershocks struck the crippled Fukushima Dai-Ichi power plant today, as officials battling to prevent a nuclear meltdown said fuel rods at two reactors may have been damaged.

Japan's failure to contain radiation risk from a crippled nuclear power plant, and the resulting turmoil in stocks, threatened to worsen damage to the economy from last week's earthquake and tsunami.

Bahrain's stock exchange suspended trading today after the country declared a state of emergency and Saudi Arabian-led military forces arrived in the island-kingdom to restore security following deadly riots.

Federal Reserve officials signaled they're unlikely to expand a \$600-billion bond purchase plan as the recovery picks up steam and the threat that inflation will fall too low begins to wane.

Mitsubishi Materials Corp., Japan's third-largest copper producer, has declared force majeure on concentrate shipments to its Onahama smelter after an earthquake and tsunami halted power supply on March 11.

Copper falls as Japan warns of high radioactivity levels

Bloomberg, Mar 15, 2011

Copper declined as equities slumped after the Japanese prime minister warned the risk of further radiation leaks from the damaged nuclear power plant at Fukushima is increasing. Zinc and lead also fell.

The metal for three-month delivery dropped as much as 1.6 percent to \$9,039 a metric ton on the London Metal Exchange and traded at \$9,042 at 3:07 p.m. Shanghai time. Copper for June delivery on the Shanghai Futures Exchange dropped 1.2 percent to 68,600 yuan (\$10,441) a ton.



Japanese Prime Minister Naoto Kan said today in a nationally-televised press conference that the risks of further radiation leaks are increasing after explosions at the plant in northern Japan. Emergency cooling systems failed following last week's massive earthquake and tsunami, resulting in the explosions.

"The Japan earthquake is the theme," Wang Ning, an analyst at Xiangyu Futures Co., said by phone from Shanghai. "It has a broader impact on financial markets and Copper won't be immune."

Kan said his government was doing its utmost to contain the radioactive leakage from the plant. Blasts have occurred at three of the station's six reactors since March 12 and a fire was discovered a fourth unit's building today. The level of radiation at the plant climbed above the legal limit after the latest explosion, Kyodo News reported.

Shares Plummet

Japan's shares tumbled, with the Topix index completing its worst two-day plunge since 1987, as concern grew about the safety of nuclear plants damaged by the country's worst earthquake on record. The index sank 9.5 percent to 766.73. The MSCI Asia Pacific Index fell as much as 7.5 percent to 121.69. Manufacturers including Sony Corp. and Toyota Motor Corp. closed plants yesterday.

Copper in an economy stunned with Japan

Globe and Mail Update, 15.03.2011

In industrial metals, benchmark three-month Copper futures on the London Metal Exchange reversed early gains to fall 2.3 per cent to \$8,976.25 a tonne.

“Looking at it from a market psychology point of view, you have headwinds in the form of heightened unrest in the Middle East and the uncertainty surrounding the implications of economic demands from the earthquake and tsunami,” said Barclays Capital metals analyst Gayle Berry.



“But from a fundamental perspective, I think things are still shaping up nicely. You have this improvement in demand bubbling behind big headlines, but very short-term prices will remain dominated by the large number of uncertainties that are out there.”

In bulk commodities, Japanese steel mills are diverting metallurgical coal cargoes due to plant outages. Iron ore and thermal coal may also need to be sent elsewhere after damage to ports and production facilities, possibly to South Korea and China.

Grains futures also slid. Japan is the world’s biggest importer of corn and third-largest buyer of soybeans, the main ingredients in animal feed. It is also the world’s fourth-biggest wheat importer, and plans to buy 4.96 million tonnes of milling wheat in the year to March 31.

But losses were seen reversing as they were not fundamentally supported with tight global grain supply. “Generally, the market will remain volatile given the situation in the Middle East, North Africa as well as Japan. But there is potential to see buying on the dips, especially in corn and soy, where the balance looks like it will be tight at the end of the season,” said Victor Thianpiriya, agricultural commodity analyst at ANZ in Melbourne.

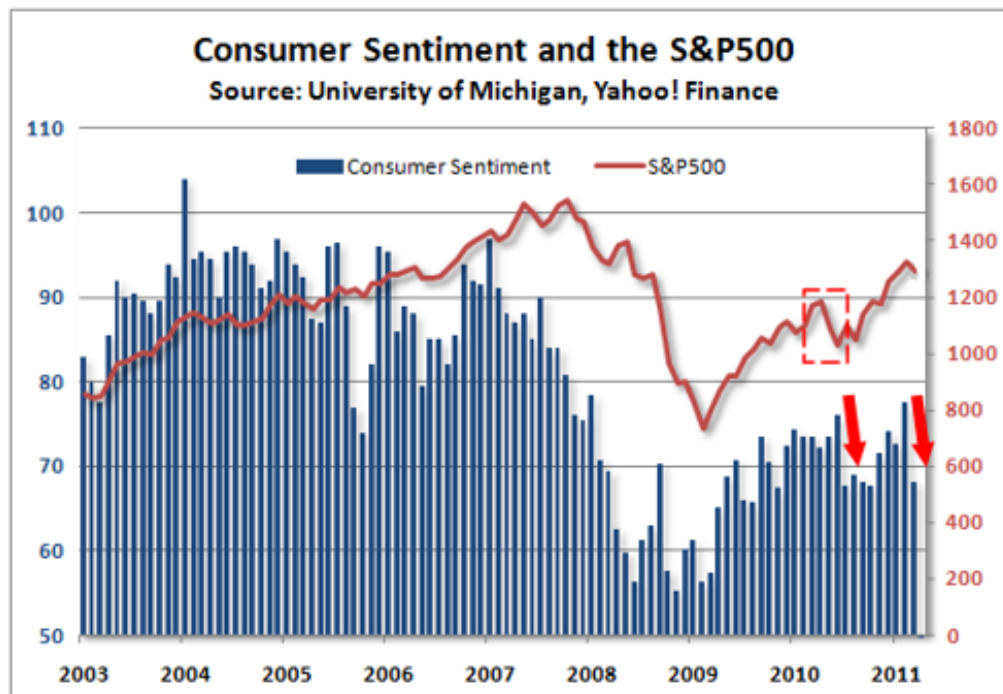
Dumb Money, Smart Money, And Dr. COPPER

Seeking Alpha, March 14, 2011

The events of the last week or so may prove to be pivotal ones for financial markets in 2011. The two-year anniversary of the current bull market was widely celebrated on Tuesday, March 9, with many calling for a continuation of that trend based on a number of factors -- the most significant being that your typical stock bull market lasts longer than just two years, and that the third year of presidential terms are almost always favorable for equity markets.

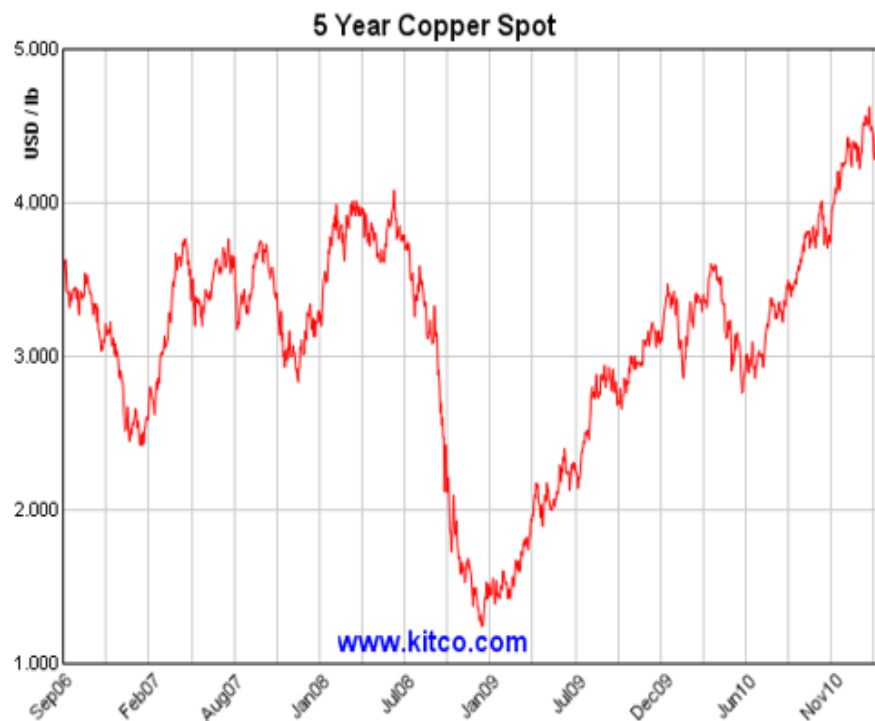
On the other side of the debate, analysts observed recent developments characterized as "the worst since last August" -- namely, the plunge in stock prices on Thursday and a dramatic turn for the worse in the mood of the American consumer -- and wondered what could possibly be the catalyst for a sustained move higher for stocks, given that the Federal Reserve's hands are likely to be tied this year with gasoline prices careening toward \$4 a gallon.

As shown below, the events of the last month bear some striking similarities to the middle of last year when, after the European debt crisis flared up in the spring, stocks and commodities sold off and consumer confidence plunged, leading to the Federal Reserve quickly switching from "exit strategy" talk in the spring to talk of "QE2" in the summer.



It is Copper prices that have captured the attention of many market watchers recently. Just last week the metal gave up its gains for the year while closing in on a 10 percent decline from record highs reached last month. For those looking for similarities between 2008 and 2011, it's worth noting that the Copper price peaked early in that year, and

then only briefly recaptured those levels in June before crude oil reached a high of \$147 a barrel in July.



Last week, Copper prices plunged in advance of the much broader declines seen on Thursday and some think that Dr. Copper -- the metal with a Ph.D in economics, because the widely-used metal is a good barometer of economic activity -- may be signaling trouble ahead.

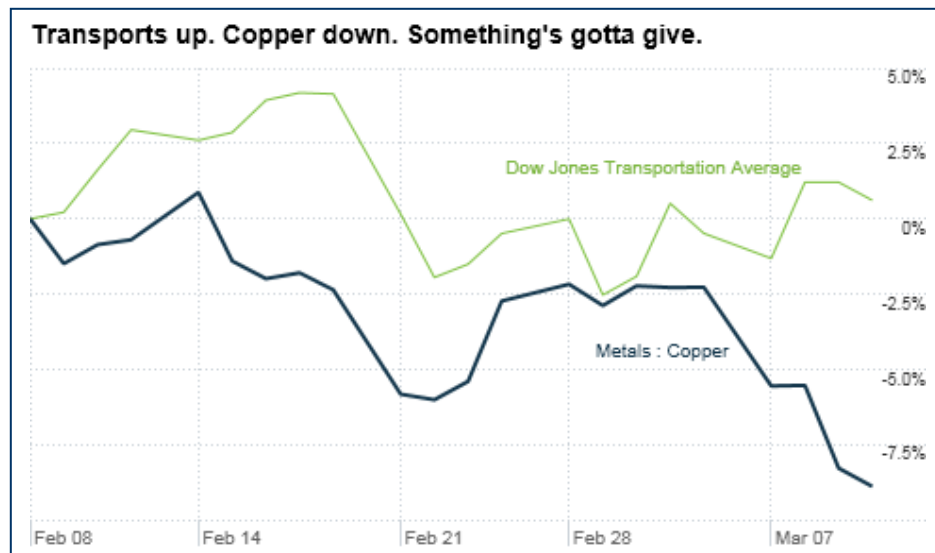
Other base metals saw sharp sell-offs last week, and it was the worst week of losses for industrial metals since last June. These metals are volatile, but they are also fairly reliable leading indicators for other market sectors. The fact that Chinese companies are now using Copper stockpiles as collateral to secure other credit, as [reported](#) by the *Financial Times*, adds even greater weight to the argument that the current economic recovery is indeed shaky.

With ongoing turmoil in both the Middle East and North Africa, a possible escalation of the European debt crisis after last week's downgrade of Spanish debt, new concerns about the Chinese economy, and a myriad of potential trouble spots in the U.S., the odds of a renewed economic downturn seem to have increased considerably in just the last few weeks.

If we see anything like the events of 2008, it is unlikely that any "risk" asset will be spared and even gold will see a significant decline -- though it may fare much better than other asset classes. All assets that have been artificially supported by waves of central bank liquidity, freakishly low interest rates, and cheerleading from the highest ranks of government would give up some or all of their recent gains -- and possibly much worse.

'Dr. Copper thinks the market is sick

CNNMoney.com



Copper prices have plunged in the past week. They actually started to dip ahead of Thursday's tepid economic data-inspired market rout. That's one reason why traders follow Copper extremely closely, even dubbing the reddish-brown metal Dr. COPPER because of its expertise in predicting economic scenarios.

The case for why Copper is a barometer worth watching is simple. More so than gold, silver and other precious metals, Copper is a base metal that is widely used to help manufacture goods ranging from autos and plumbing pipes to semiconductors and telecom and cable wiring.

So a sharp drop in Copper prices often is a sign that industrial demand may be slipping. Lo and behold. That does appear to be happening around the globe. Investors are growing increasingly nervous about the spike in oil prices in the past month or so as political upheaval made its way across North Africa, hopscotching from Tunisia to Egypt to Libya.

The increase in crude prices has caused a massive surge in gas prices in the United States. And that has some wondering if pain at the pump could lead to consumers pulling back on the purchases of other goods. A rise in food prices globally isn't helping matters either.

Then there's China. It reported a [surprise trade deficit](#) -- which admittedly may be due in large part to the Chinese New Year slowdown. But there are other signs of [cooling demand in China](#) as central bankers there are firmly in inflation-fighting mode.

China's 'insatiable' demand brings inflation risk

Add that all up and it makes sense for copper to be down nearly 10% since peaking in mid-February. That's not encouraging news. "Copper was one of the first rallying points for this market two years ago as worldwide growth picked up," said Keith Springer, president of Springer Financial Advisors in Sacramento, Calif. "I'm not sure yet if it's a precursor of a big pullback, but it could be a sign that the global economy may be cooling off."

It makes sense. With stocks having nearly doubled from their bear market lows of two years ago, there are questions about whether or not traders have become too enthusiastic, if not downright complacent, about the state of the economy.



Sure, the economy is in better shape than it was two years ago. Andrew Busch, global currency and public policy strategist with BMO Capital Markets in Chicago, points out that copper prices had also surged dramatically, so some sort of pullback could actually be healthy and should have been expected.

But he did concede that this is a steep decline. Copper prices have now given up all their gains for the year. And the fact that a jump in oil prices has been enough to spook investors and consumers so much shows just how tenuous the recovery really is.

"There have been some strange trade numbers that reflect a drop in demand," said Busch. "One has to believe that higher oil is not a good development for the global economy and U.S. recovery, particularly since we import so much."

Another possible cause for concern is that shares of some of companies that are the most economically sensitive, transportation stocks, have actually outperformed the broader market despite all the worries about oil. That doesn't normally happen.

Keep track of copper and other commodities

The Dow Jones Transportation Average (DJT), a collection of 20 truckers, airlines and railroads, has held up reasonably well in the past month, clinging to a gain even as the broader Dow Jones Industrial Average (INDU) has fallen.

The transports outperformed on Thursday too, dropping less than a percent compared to a 1.4% decline for the Dow industrials. Of course, the decline in oil prices Thursday may be helping the trains, planes and trucks.

But John Kosar, director of research with Asbury Research in Chicago, said it's unusual for transportation stocks to outperform during times of economic uncertainty. He noted that the Dow Jones transports and copper actually tend to trade in tandem.



So either copper is oversold, suggesting the market may be due to for a near-term bounce, or transports are ahead of themselves, indicating more volatility for the markets and economy in the coming months. Unfortunately, he thinks the latter case is true.

"The historical correlation between copper and the transports has been pretty tight and stable for the past 20 years," Kosar said. "So something now looks mispriced and it's probably the transports. That's a red flag."

Widening deficit to make copper the new gold in 2011

Financial Express, Feb 28, 2011

Copper is the most talked about commodity this year. Copper's price and supply-demand characteristics are widely assumed to reflect the health of the world industrial economy, hence it is considered as excellent barometer to understand global economy's health. In 2010, copper has outperformed other base metals and given returns of 30% with copper prices touching an all-time high of R465 per kg in first quarter of 2011. While gold has appealed to those seeking a hedge against inflation, copper has seen demand for its industrial use rise.

In 2011, copper prices are to be driven by strong fundamental factors like tight supply situation and increasing demand. Supply will play a key role in shaping copper's price this year, after a 30% decline in stockpiles last year—the most since 2004 — and an anticipated shortfall once again in 2011. Refined copper production is set to rise but just at 1.12% lesser than the rise in demand of 4.50%. It is estimated that in 2011, the copper demand will surge around 4.50% backed on strong demand from China, India

and also growth in US. International Copper Study Group has estimated global copper market will be in deficit of 4,50,000 tonne in 2011.

Supply constraints

Many leading mines across the globe that were developed over two decades ago are yielding ore with less and less metal content. Production at Escondida, the world's largest copper mine, is anticipated to drop as much as 10 % in the next 12 months because of lower grades.



Due to shortage of domestic mines and a low percentage of productivity in the existing mines, India is already suffering loss in the level of production for Copper. Rising prices are attracting companies to start newer venture but copper mining projects take a long time to commence. Hence, no new major copper supply will be seen in 2011 further tightening the inventory situation.

Growing economies e.g. China and India are among the largest demand sources for industrial metals since the beginning of the last decade, and are responsible for at least 30% to 45% of all base metals consumption. India accounts for 3% of the global output but still has to depend completely on the copper ore imports. China's State Reserves Bureau (SRB) will buy more refined copper in 2011 even as the prices hover near a record high, though the buying would not be that aggressive. Overall, India and China's copper imports are expected to go up this year and demand is also likely to rise by 7% in 2011 from last year. South Korea's Public Procurement Service is also looking to raise copper stocks to 46 days of consumption in 2011 from 2010's 42 days.

The pace of depletion in copper inventories at London Metal Exchange monitored warehouses is also indicative of a very strong demand outlook amid tight supply. In the past one year, copper stocks at LME-monitored warehouses have declined nearly 25%.

The world's growing economies may choose to increase interest rates in an attempt to curb liquidity and control inflation. The People's Bank of China has already increased key one-year lending and deposit rates by 25 basis points effective from 18 th Feb 2011. Another fear is of the substitution.

Rising copper prices will encourage use of other metals in plumbing & construction. Substitution will pull out around 3% of the copper in 2011. But at the same time, new usage like electric and hybrid cars should make up for the loss of demand caused by substitution. Since the fundamentals of the metal are strong, such negative factors could only drag copper prices down for a short period.

The Uncertainty of Crowds

<http://news.goldseek.com>, Feb 21, 2011

With Libyans having joined the movement to overturn aging autocracies the Arab street action has moved into a geopolitically more difficult territory. Concern over Libya's oil exports are showing up as higher crude pricing. Libya's 1.6 M barrels/day of crude output may well undergo disruptions, but the Saudis could replace that if prices move high enough to cause concern. As troubling is the unpredictability of Muammar Gaddafi and those around him.



They seem more likely to go down fighting than the western leaning autocrats have been, and that is more likely to cause splintering of the country and concern similar shifts elsewhere in the region. Markets are reflecting this heightened uncertainty with continued gains for precious metals and US\$ as well as oil. We expect the US\$ and oil to peak before gold and its cousins do.

Base metals have been trending lower as would be expected during Dollar strength, but broader considerations are also part of this. Traders managed to push copper through \$10,000/t (\$4.56/pound), but that 5-figure copper pricing has acted as a ceiling. More analysis is now focused on the growth of on-market stockpiles and the unknown size of off-market stocks, plus increased efforts to cool emerging market growth. Traders have begun listening to those concerns as much as to Arab street rallies. The share prices of First Quantum, Capstone, Lundin and most other copper miners began declining ahead of the metal's peak. Since Dr Market tends to trump Dr Copper, this more cautious mood around the red metal is likely to last. Waiting for weakness in the subsector should pay off.

How to use ETFs to play copper

Globe and Mail , Feb. 28, 2011

Copper has been on tear recently. Its latest gains come after news that ETF Securities, a Europe-based ETF issuer, filed a plan with the Securities and Exchange Commission to launch a physically-backed exchange traded product in the United States that tracks the price of copper.

The filing also targeted other physically-backed exchange traded products including aluminum, lead, nickel, tin, zinc and a basket of the six base metals. The timing of the issues, their symbols and expense ratios were not including in the filing.



Expense ratios on the proposed industrial metal funds are expected to be higher than the expense ratios charged for the highly successful physically-backed gold, silver, platinum and palladium ETFs. Storage costs for industrial metals are significantly higher.

A copper price-tracking exchange traded product already exists in the United States. iPath offers an exchange traded note based on copper futures contracts. However, ETNs based on futures contracts may not accurately track the spot price of the underlying commodity accurately over a long period of time due to contango and backwardation issues related to futures contracts. Contango and backwardation effectively are eliminated when trading physically backed ETFs.

Canadian investors also have access to copper-related exchange traded funds. Horizons recently launched the Horizons BetaPro COMEX Copper ETF. The ETF also is based on futures contracts and trades in Canadian dollars.

This ETF is an addition to two previously launched ETFs, the Horizons BetaPro COMEX Copper Bull+ ETF (HKU-T33.80-1.37-3.90%) and the Horizons BetaPro COMEX Bear + ETF (HKD-T9.670.282.98%). The former attempts to realize two times the daily upside performance of COMEX futures contracts currently held by the fund. The latter attempts to realize two times the daily downside performance on COMEX futures contracts currently held by the fund.

Two exchange traded funds on copper equities are available on U.S. exchanges, the Global X Copper Miners ETF (COPX-N16.88-1.00-5.59%) and the First Trust ISE Global Copper Index Fund (CU-Q37.69-2.27-5.67%). Both funds hold a diversified basket of 30 copper mining stocks.

Canadian investors likely favour the Global X Fund slightly more than the First Trust ETF because of its greater exposure to the Canadian mining sector (47 per cent versus 34 per cent). In addition, the Global X ETF is more actively traded.

The outlook for copper in 2011 is encouraging. According to the International Copper Study Group, copper demand is expected to exceed supply by 435,000 metric tonnes in 3011. Annual production is approximately 18 million metric tonnes. Demand for copper continues to grow in emerging nations and in developing nations such as China, Brazil and India.



On the charts, copper has a positive technical profile. Resistance exists at its all-time high at \$4.6575 (U.S.) per lb. set three weeks ago. After reaching its high, copper fell 9.0 per cent to reach a low late last week at \$4.2435. Short term momentum indicators moved to oversold levels late last week and are showing signs of recovery.

Technical profiles on copper mining ETFs are similar to the technical profile on copper.

Seasonal influences for copper are encouraging at this time of year. Demand for copper increases during the spring auto and construction season. A 20-year seasonality chart shows that copper moves higher from February to July. (The chart represents the seasonality for copper futures continuous contract for the past 20 years.)

Ownership in copper, copper-related exchange traded funds and copper-related mining equities makes good sense at this time of year.

Don Vialoux is the author of free daily reports on equity markets, sectors, commodities and Exchange Traded Funds. He also is a research analyst with JovInvestment Management Inc.

Chinese copper output seen up in March

Reuters, 14 Mar 2011

Reuters reported that China's refined copper production is expected to gain in March building on a nearly 8% rise in the first 2 months of 2011 from the same period a year ago which could raise local supply and cut import demand.

Mr Fu Bin analyst of Jinrui Futures said that "Copper production should rise in March since raw materials supplies are relatively sufficient and TC and RCs for concentrate are higher."



He was referring to over 50% gain in term treatment and refining charges Chinese smelters will receive for turning imported concentrates into metal this year.

Like copper, seasonal adjustments eased monthly output of most base metals in the January and February period but the combined output still saw annual rises due to increased capacity in China, the world's top consumer and producer of most of the metals.

Data from the National Bureau of Statistics showed that, in the first 2 months of 2011, China's refined copper production rose to 795,000 tonnes even as monthly output fell 5.6% in February. Copper output fell to 386,000 tonnes in February to 10 month low extending 7.9% fall in January from a record high 444,000 tonnes in December 2010.

Black Eagle railroad bed contains heavy metals that have migrated to soils

The Associated Press, March 12, 2011

Great Falls - A Superfund project manager with the U.S. Environmental Protection Agency says contaminated waste material from a former copper refinery and smelter near Great Falls is up to 5 feet thick in a railroad bed running through the area.

Charlie Coleman tells the Great Falls Tribune that heavy metals from the waste have migrated to soils beneath the bed.



The EPA on Tuesday added the Anaconda Copper Mining Co. site in Black Eagle to the National Priorities List of Superfund sites. Copper smelting took place there from 1893 to 1980. Elevated levels of lead, arsenic and cadmium have been found in the soil of 375 homes.

China likely to buy more copper and supplies already tight

online.wsj.com, 13 Mar, 2011

WSJ reported that China is likely to pick up its copper purchases in the Q2 at a time when global supplies of the metal are forecast to be in a deficit of 500,000 tonnes to 600,000 tonnes.

Executives at an international metals conference said that the combination is likely to result in even high copper prices. Copper prices recently hit all time highs, reaching above USD 10,000 per tonne in London and topping USD 4.60 per pound in New York.

Canada's NovaGold to buy Copper Canyon Resources

Reuters, March 07, 2011

Canada's Copper Canyon Resources Ltd agreed to be bought by NovaGold Resources Inc in an all-stock deal, sending Copper Canyon's shares up 29 percent to their highest in over four years.

NovaGold will issue 0.0735 of its shares for every Copper Canyon share, and one share of a new company -- holding most of Copper Canyon's assets -- for every four Copper Canyon shares. The NovaGold share component of the deal is valued at about C\$53.4 million based on its Friday close of C\$13.81.



NovaGold first made an offer for Copper Canyon in December, valuing the junior miner at C\$34.1 million. The new company will hold almost all of Copper Canyon's assets, except its 40 percent stake in the Copper Canyon copper-gold-silver mine in British Columbia, the company said in a statement.

Shares of Copper Canyon rose as much as 29 percent to C\$1.08, before paring some gains to trade at C\$1.03 in Monday morning trade on the Toronto Venture Exchange. NovaGold shares were down slightly at C\$13.74 on the Toronto Stock Exchange.

SKF delivers plant reliability to sub-Saharan based copper mine company

<http://www.cisionwire.com>, 15 March 2011

SKF and Konkola Copper Mines Plc (KCM) in Zambia have signed a three-year, two million dollar contract covering a Predictive Maintenance (PdM) solution.

The solution is based on a system that provides early warnings of machinery and plant deterioration. By using the data to plan and implement the correct maintenance and operational actions, the plants total performance and reliability is improved.

We continue to strengthen our establishment as a solution provider in this region, and help our customers to significantly reduce unplanned shutdowns through implementing these PdM methodologies, says Vartan Vartanian, President SKF Service Division.



For more than forty years, SKF has supplied KCM and its previous owners with a large range of products, services and solutions.

We are very confident to make this investment knowing the competence and delivery potential of SKF. With this solution we expect to significantly reduce maintenance cost and failures and maximize overall reliability and availability in all our plants, says Ganapathy G, Vice President Engineering at KCM.

KCM is the main combined copper mining, concentrating and smelting operation in the Zambian copper industry. The contract will be implemented on all KCM sites.

Lundin buy would create 500000 TPY copper miners - Equinox

Reuters, 03 Mar 2011

Reuters reported that Equinox Minerals Limited will look to create 500,000 tonne per year copper producer in 5 years to 6 years if it succeeds in acquiring Lundin Mining.

Mr Craig Williams CEO of Equinox said that it is a growth path that is real. Equinox earlier launched an unsolicited takeover offer for Lundin which it said was worth CAD 8.10 per Lundin share valuing Lundin at CAD 4.8 billion.

Study Sterlite industries: Supreme Court to NERI

<http://a.tribalfusion.com>, 26 February 2011

New Delhi: The Supreme Court on Friday directed the National Energy Research Institute (NERI) to inspect Sterlite's copper smelting plant at Tuticorin in Tamil Nadu for pollution and submit a report within eight weeks.

A Bench comprising Justice R V Raveendran and Justice A K Patnaik issued directions in this regard after finding that the findings of the Central Pollution Control Board (CPCB) and that of the Tamil Nadu Pollution Control Board (TNPCB) are different on the issue. The Bench directed NERI to visit the site of Sterlite in Tamil Nadu and submit a report on the environmental compliance by it.



However, the Bench said its stay order, staying the order of the Madras High Court, wherein the latter had directed Sterlite to close plant, would continue till the next date of hearing. The Bench asked Sterlite also to take steps to adhere to the suggestions made by CPCB and TNPCB and overcome the shortcomings pointed out by them. "If you do not do, then you are at your own risk," Justice Raveendran remarked and directed NERI to inform CPCB, TNPCB and the other parties to the suit "so that they also assist it in making a proper report."

The cost of NERI's survey would be borne by Sterlite. During the course of the hearing, TNPCB alleged that that Sterlite had failed to comply with its direction to take appropriate steps for storage of raw materials, solid waste disposal, controlling fugitive gaseous emissions and to develop a green belt of 75 per cent. TNPCB submitted that Sterlite had developed only 25 per cent of the green belt and its solid waste disposal was not on the right lines. The agreement over CPCB and the Ministry of Environment and Forest (MoEF) was that all pollution parameters of Sterlite were within permissible limits. It was on October 1, that the apex court had first stayed the order of the High Court. It extended the stay by its order on January 24 this year. Today's direction is in continuation of the two previous orders.